

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit www.djreprints.com.

<https://www.wsj.com/articles/cvss-revenue-rises-as-it-pursues-aetna-1509972920>

BUSINESS • EARNINGS

CVS, With an Eye on Amazon, to Launch Next-Day Delivery

The drugstore chain will offer the service nationwide starting early next year, and same-day delivery in some urban areas

By Sharon Terlep

Updated Nov. 6, 2017 at 10:04 am ET



CVS Inc.'s pharmacy-services segment revenue increased 8.1% in the latest quarter. GENE J. PUSKAR/ASSOCIATED PRESS

CVS Health Corp. **CVS 0.15%** ▲ is launching next-day delivery of prescription medication, a move that comes as the drugstore giant faces declining retail sales and potential competition from Amazon.com Inc.

CVS on Monday said it would offer the service nationwide starting early next year, and same-day delivery in some urban areas. In Manhattan, the company will offer free,

same-day delivery service starting Dec. 4.

CVS declined to say what company it's paired with to offer nationwide delivery. The prescriptions will be shipped from pharmacy locations, and a selection of store products will also be eligible for delivery.

The same-day service in Manhattan will be handled by couriers, and roughly 50 nonprescription goods will also be eligible for delivery as well.

As the pharmacy industry shifts, CVS revenues have declined in its retail locations. On Monday, it reported that retail sales, including prescriptions, fell 2.7% to roughly 42% of overall revenue in the period ended Sept. 30 while revenue in its pharmacy benefit manager, or PBM, operations jumped 8.1% in the quarter.

Meanwhile, Amazon is considering entering the pharmacy business, which is a factor in CVS's decision to pursue a \$66 billion bid for insurer Aetna Inc.

CVS executives, in discussing quarterly earnings results on Monday, didn't address talks with Aetna, reported last month by The Wall Street Journal.

Asked how much delivery would cost, Helena Foulkes, who runs the company's retail business, didn't specify but said CVS was able to "use our scale to secure a low-cost, competitive option" that the company believes customers will pay for.

Ms. Foulkes said CVS believes in-store pickup will remain a mainstay because many consumers prefer immediate access to medicines.

Overall for the quarter, CVS reported a profit of \$1.3 billion, or \$1.26 a share, compared with \$1.5 billion, or \$1.43 a share, a year ago.

Write to Sharon Terlep at sharon.terlep@wsj.com

Sharon Terlep is an enterprise reporter covering the global automotive industry from The Wall Street Journal's New York offices. She writes about how the industry's biggest players shape how and what we drive, and about their impact on trade, manufacturing, labor and the global workforce. Sharon joined the Journal in 2008 in Detroit, wher...

Follow

